

Supplier Lead Time and Safety Stock Policy

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Purpose

This policy defines supplier lead times and minimum order quantities by category, and the formula used to calculate safety stock. Both feed directly into the reorder point calculation in MRG-POL-101.

Lead Times and Minimum Order Quantities

Category	Lead Time	Min. Order Qty	Primary Supplier Region
Winter Apparel & Outerwear	21 days	50 units	Domestic + regional
Summer Apparel & Accessories	21 days	50 units	Domestic + regional
Home & Kitchen Essentials	14 days	25 units	Domestic
Personal Care & Wellness	10 days	100 units	Domestic
Electronics Accessories	30 days	20 units	Overseas
Stationery & Office Supplies	7 days	100 units	Domestic

Safety Stock Formula

Safety Stock = (Maximum Daily Sales - Average Daily Sales) x Supplier Lead Time in Days.

Worked Example

For an item with average daily sales of 8 units, maximum observed daily sales of 15 units, and a 14-day supplier lead time: $\text{Safety Stock} = (15 - 8) \times 14 = 98$ units. This value is added to expected demand over the lead-time window to produce the reorder point defined in MRG-POL-101.

Related documents: MRG-POL-101 (Restocking and Reorder Policy), MRG-REF-001